Anlon Healthcare Ltd

Concall tracker · Q2 FY27 (quarter to Sep 2026) · filed under Q2-2027 · NSE: AHCL

1. Snapshot

What it does: A Rajkot company that makes the chemical building blocks (intermediates) and finished active ingredients (APIs = the active drug powder) for painkillers such as Loxoprofen, Ketoprofen and Dexketoprofen. It sells to drug makers in India and to regulated markets like Japan, Europe and Brazil. Over the past year it bought or set up five group companies, so it now also makes industrial chemicals, will make tablets and capsules, and is starting contract manufacturing (CDMO = making a molecule for one innovator client) plus new medical-device and biologics arms.

Number	Value	Plain read
Market cap	₹1,423 cr	What the whole company is worth on the market today.
Price-to-earnings (P/E)	about 51x	Investors pay about 51 rupees for every rupee of yearly profit. That's expensive; it prices in a lot of growth.
FY26 sales (standalone, Screener)	₹176 cr	Sales of the parent company last year, up nearly half on FY25.
H1 FY27 consolidated sales	₹193 cr	Group sales in just six months already beat all of last year, mostly because of the bought companies.
Q2 FY27 consolidated EBITDA margin	23.9%	Operating profit (before interest, tax, depreciation) per ₹100 of sales is about ₹24. Up from about ₹18 in Q1, but below the ₹35 the company used to earn alone.
Debtor days (FY26)	215 days	Customers take about seven months to pay. Cash is tied up, and operating cash flow was negative in FY26.
Promoter holding	52.7%	Flat for a year. Shareholder count jumped from about twelve thousand to over eighty thousand in a year, so a lot of new retail money has come in.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY26 (first call after listing)	Nov 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	May/Jun 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27 ★ latest	3 Nov 2026	Yes, in full

Five calls covering about one year since the IPO. That is a short record, so the consistency read is limited.

2b. Latest concall highlights · Q2 FY27 (3 Nov 2026)

- **Results:** consolidated sales ₹105.6 cr, about double last year (mostly the acquired Apiqo and Bizotic plants). Profit ₹17.2 cr, up about 84%. Margin recovered to 23.9% from 17.8% in Q1, because Anlon passed higher raw-material costs to customers. Raw material prices themselves have not come down.
- **Guidance:** FY27 sales ₹380-400 cr kept. FY28 now ₹650-700 cr (it was ₹700-800 cr in June, ~₹700 cr in August). Sustainable group margin now stated as 23-25%, down from "35% or above" in February.
- **Slips:** first CDMO molecule's commercial supply moved from Q3 to end-Q3/early Q4. Molecules two and three moved from Q4 FY27-Q1 FY28 to after H1 FY28. The tablet unit (Anlon Medicos) now starts earning in Q4, not Q3.

- **New:** two new subsidiaries, one for implants (trauma, spine, joints) and one for peptides and biosimilars. Board approved raising up to ₹250 cr. Bank term loan of ₹65-70 cr planned for the Rajkot expansion.
- **Tone:** upbeat and expansive. Many new projects at once, with dates that keep moving a quarter or two.

2c. Business mix & capacity

Domestic vs export: in Nov 2025 exports were under 5% of sales; management said it aims for about 60% exports in FY27. No updated split was given in the latest call. Plain read: still mostly an Indian-customer business today.

Capacity: group capacity about 1,900-2,000 tonnes a year, running at 65-67%. The parent plant is at 85-86%, basically full. A new 1,200-tonne Rajkot plant (8 clean lines) is due in Q1 FY28, with revenue from Q2 FY28; a December public hearing could push it out a month or two. Plain read: the parent can't grow much more until that plant is ready.

3. Earning-trigger thesis ★

Management's growth story is capacity plus registrations. Anlon is one of very few Indian makers of Loxoprofen, Ketoprofen and Dexketoprofen, holds drug-master-file approvals (DMF = the regulatory file a buyer needs before it can buy) in Japan, China, Brazil and Europe, and says China isn't competing in its products. It bought three plants to get capacity fast, and is building a large new Rajkot plant. On top sits a pipeline of CDMO molecules, a tablet unit and a painkiller gel awaiting Indian approval. The acquisitions already doubled sales. The catch: margins fell when the cheaper-margin chemicals business was added, and every new arm is still a promise.

Trigger	What management said	Evidence so far	Time horizon	Strength
Acquired capacity (Apiqo, Bizotic)	Bought to beat the parent's bottleneck; FY27 ₹380-400 cr	H1 sales ₹193 cr, on track	Now	Strong: already in the numbers
New Rajkot plant (+1,200 t)	Q1 FY28 completion, revenue from Q2 FY28	Construction started, only ₹15-20 cr of ₹130 cr spent	FY28	Moderate: on schedule so far, approvals pending
CDMO for two global innovators	First molecule commercial Q3 FY27	Validation supplied; commercial supply slipped a month or two	Q4 FY27 onward	Weak: not in guidance, keeps slipping
Formulations, gel, implants, biologics	Revenue from Q4 FY27 to Q4 FY28	Nothing yet; dates moving	FY28+	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt went up; new term loan of ₹65-70 cr planned (Nov 2026).
New business	Yes	"Apiqo Organics has opened an industrial and fine chemicals vertical as a new revenue stream" plus tablets via Anlon Medicos (Nov 2026).
Margin up	No	Margin recovered from Q1 but is below the old level; sustainable range cut to 23-25% (Nov 2026).
New management	No	Same chairman and MD, Punitkumar Rasadia.
New capacity	Yes	"Greenfield expansion at Rajkot will add roughly 1,200 metric tonne per annum through 8 new clean lines commissioning in Q1 FY28" (Nov 2026).
Big orders	No	Speaks of customer commitments and "visibility for the next 2, 3 years", but no order book figure.

Turnaround	No	Not a loss-to-profit story.
Promoter buying	No	Promoter stake flat; share swap issues new shares to buy out subsidiaries.

Single concrete driver: three bought plants doubled sales this year, and a new Rajkot API plant due in Q1 FY28 is meant to take sales up again in FY28.

3c. Margin bridge

Margin is about 24% now against about 26% a year ago and 35% in Q3 FY26. It fell because the acquired industrial-chemicals plant earns less per rupee of sales, the tablet unit is still losing money while it gets approvals, and raw materials jumped after the March geopolitical shock. Q2's recovery came from price increases passed to customers. Management now calls 23-25% the sustainable group level, so the old 35% isn't coming back. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2025	Greenfield construction to start that quarter, 16-18 months to finish	Construction under way, completion now Q1 FY28 (about 18-20 months)	Partly
Feb 2026	"35% EBITDA is sustainable for the next two, three years"	Q1 FY27 margin 17.8%, Q2 23.9%; guide cut to 23-25%	Missed
Feb 2026	FY27 sales ₹370-380 cr "very conservative"	H1 ₹193 cr; guide now ₹380-400 cr	On track
Jun 2026	FY28 sales ₹700-800 cr	Now ₹650-700 cr	Partly (trimmed)
Jun/Aug 2026	First CDMO molecule commercial in Q3 FY27; other two Q4 FY27-Q1 FY28	First slips to end-Q3/early Q4; other two after H1 FY28	Missed (delayed)
Aug 2026	Margin back to 25-30% in Q2-Q3	23.9% in Q2	Partly
Jun 2026	Positive operating cash flow for FY27	H1 outflow ₹7.9 cr vs ₹79 cr for FY26; debtors being collected faster	Too early
Jun 2026	No equity dilution planned; banks first	Board approved raising up to ₹250 cr in Nov	Dropped

Narrative drift: the sales numbers have mostly come through, but nearly everything else has shifted. The margin promise went from 35% to 23-25% in nine months. CDMO and the tablet unit slip a quarter each call. The story keeps widening (chemicals, tablets, implants, biologics, injectables) faster than the old promises land, and the "no dilution" line was reversed within five months. The MD answers openly, but a lot of plans are running at once.

5. Bottom line

Durable earning trigger? → MAYBE

The bought capacity is real and already doubled sales, and the Rajkot plant is a named, dated next step. But growth so far has come from buying plants with thinner margins, the niche painkiller APIs are the only proven profit engine, and every higher-margin add-on (CDMO, gel, implants) is a year or more away and keeps slipping. The stock at about 51 times earnings already assumes it all works.

Management consistent? → NO

The margin guidance was cut twice, CDMO and tablet dates keep moving, the FY28 sales target was trimmed twice in two calls, and a "no dilution" stance gave way to a fund-raise. Sales guidance is the one thing it has hit.

6. Checkpoints for next quarter

- First CDMO molecule starts commercial supply by Q4 FY27
- Group margin holds at or above Q2's level in Q3
- Rajkot plant passes its December public hearing without a delay

Sources: Anlon Healthcare earnings-call transcripts Nov 2025, Feb 2026, Jun 2026, Aug 2026, Nov 2026 (via Screener/NSE); Screener.in financials. Not investment advice.